

Instituto Tecnológico Autónomo de México
ADM-11013 International Business
Carlos Gonzalez, PhD

Course Description

This course provides an introduction to the cultural, economic, and global contexts that define the environment for international business. The course seeks to provide you with theoretical and practical knowledge of the issues relevant to international business that will help you address IB situations during your professional career.

The course will examine different topics of international business such as globalization; differences in culture and ethical issues; trade and investments; regional integration (NAFTA/USMCA and the European Union); international strategy; challenges in supply chain, human resources, marketing and finance functions; international entrepreneurship and social business; and business in emerging markets.

Lectures will be supported by videos, case studies, presentations, and class discussions, focusing on real-life application of the different topics of international business studied in class.

Objectives

1. Understand the different challenges business face when operating in an international environment;
2. Examine various cultural, political, and economic issues that impact international business;
3. Develop an understanding of the concepts and theories that explain international markets;
4. Understand how firms respond to opportunities and risks in the international business environment;
5. Enhance your awareness of how current world events may impact on firms and countries.
6. Understand the particular challenges and opportunities of international entrepreneurship and social businesses.
7. Recognize the challenges of operating in weak institutional environments, such as in emerging markets.

Professor: Carlos Gonzalez, PhD in Strategy and Management, University of St. Gallen, Switzerland

Book: International Business, Charles Hill, McGraw-Hill, 10th edition, 2015 (but any edition works for me)

GRADING

Class Participation	20%
Midterm	20%
Final Project	20%
Final Exam	40%

Class Participation 20%: Attendance, level of preparation, ability to answer questions, and involvement in discussions and other class activities.

Midterm 20%: Partial exam near the middle of the course (see dates below for exact day). Includes everything covered before the date of the midterm.

Final Project 20%: This team project (groups of 5 students) will require students to use all the topics studied through the course, and apply them in a practical and professional way. The goal of the project is to design an international business plan and strategy for a chosen company in a given country. You are free to choose the company, but do it wisely (ask yourself: What can we learn from this company?). The project should cover everything from basic company and industry information and analysis; country analysis; internationalization strategy; marketing, finance, operations, and HR issues; risks and opportunities; future projections, among others.

Final Exam 40%: Date of final examination is provided by the university and cannot be changed under any circumstance. Includes all materials covered throughout the course, including those covered in the midterm. Needs to be approved to obtain a grade for the course.

Important to know:

- Attendance to 80% of the classes is required to receive a grade for the course. *In practice, this means that you are allowed to miss a maximum of 6 sessions.
- Final exam needs to be approved with a grade above 6.0 to be able to receive a grade for the course.

Syllabus

Block 1: Globalization

In the first block of the class we will focus on understanding the process of globalization and how it affects the operations of multinational corporations (MNCs). In particular, we clarify what we understand by “globalization”. We identify the main drivers of this global process, describe the shifting nature of the global economy, explain the main arguments in the debate over the impact of globalization and describe how the process of globalization is creating opportunities and challenges for MNCs. Further, we explore how the political, economic and legal systems of countries differ and how can this impact international business.

Date	Session	Book Chapters	Theme
Jan-20	1	1	Introduction Globalization
Jan-20	2	2	National differences in political economy
Jan-27	3	3	Political economy and economic development

Additional readings:

González, C. (2019). Is the locus of class development of the transnational capitalist class situated within nation-states or in the emergent transnational space? *Global Networks*.

Levitt, T. (1983). The globalization of markets. *Harvard Business Review*, May-June 1983, p 92.

Block 2: Cultural differences and ethical issues in international business

In the second block of the class we study how differences in culture can influence the operations of MNCs when venturing abroad. We explain what is meant by the culture of a society (“the collective programming of the mind”) and identify the business implications of differences in culture. Further, we identify the most pressing ethical issues that are faced by international businesses. We define what an ethical dilemma is, identify the causes of unethical behavior by managers, and describe different philosophical approaches to ethics in international business.

Date	Session	Book Chapters	Theme
Jan-27	4	5	Ethics in International Business
Feb-10	5	4	Differences in culture
Feb-10	6	Other	Workshop: Measuring cross-cultural differences

Additional readings:

Earley, P. C., & Mosakowski, E. (2004). Cultural intelligence. *Harvard business review*, 82(10), 139-146.

Ghemawat, P. (2001). Distance still matters. *Harvard Business Review*, 79(8), 137-147

Kirkman, B. L., Lowe, K. B., & Gibson, C. B. (2006). A quarter century of culture's consequences: A review of empirical research incorporating Hofstede's cultural values framework. *Journal of International Business Studies*, 37(3), 285-320.

Block 3: International trade (exports/imports), Foreign Direct Investment (FDI), regional integration (NAFTA, European Union and others)

In the third block of the class we try to understand why nations trade with each other. We describe several theories that attempt to explain why trade flows between nations. We study arguments both in favor and against international trade. Further, we identify the advantages and disadvantages of regional integration, such as NAFTA and the European Union. Finally, we explore the processes that firms have to follow in order to export and import in the international marketplace.

Date	Session	Book Chapters	Theme
Feb-17	7	6	International trade theory
Feb-17	8	7	The political economy of international trade
Feb-24	9	8	Foreign Direct Investment (FDI)
Feb-24	10	9	Regional economic integration, NAFTA and the European Union and others
Mar-02	11	16	Exporting, importing and countertrade

Additional readings:

Ghemawat, P. (2017). Globalization in the Age of Trump. *Harvard Business Review*.

Villarreal, M. A. and Fergusson, I. F. 2015. The North American Free Trade Agreement (NAFTA). Library of Congress Washington DC Congressional Research Service.

Weisbrot, M., Merling, L. Mello, V., Lefebvre, S and Sammut, J. *Did NAFTA Help Mexico? An update after 23 years*. Center for Economic and Policy Research, March 2017 update: <http://cepr.net/images/stories/reports/nafta-mexico-update-2017-03.pdf?v=2>

Block 4: The foreign exchange market, international monetary system and the global capital market

In this block of the course we focus on understanding the global monetary system. We describe the functions of the foreign exchange market, understand what is meant by spot and forward rates, recognize the effect of foreign exchange risk on the activities of the firm and explain how firms try to minimize such risk. Further, we describe the development of the international monetary system and understand how a global capital market is beneficial for both borrowers and lenders.

Date	Session	Book Chapters	Theme
Mar-02	12	10	The foreign exchange market
Mar-09	13	12	The global capital market
Mar-09	14	Other	Workshop: FOREX trading practice session with OANDA
Mar-23	15	11	The international monetary system
Mar-23	16	Other	MIDTERM EXAMINATION
Mar-30	17	Other	Midterm review

Additional readings:

Lessard, D. R., & Lightstone, J. B. (1986). Volatile exchange-rates can put operations at risk. *Harvard Business Review*, 64(4), 107-114.

Block 5: The challenges of firm multinationality: Strategy, organization, entry strategies, exporting.

We start this block with a review of the main theories and frameworks used in the field of business administration. We recognize how firms can profit by expanding globally, and how they must adapt their strategy and organization to maximize this goal. We understand how pressures for cost reductions and pressures for local responsiveness influence strategic choice. We identify the different strategies for competing globally, and how firms can use different entry modes to best take advantage of opportunities abroad. Finally, we explain the promises and risks associated with exporting.

Date	Session	Book Chapters	Theme
Mar-30	18	Other	Special session: Review of main frameworks in business administration (Porter's Five Forces, VRIO, Porter's Diamond, etc.)
Apr-13	19	13	The strategy of international business
Apr-13	20	14	The organization of international business
Apr-20	21	15	Entry strategy and strategic alliances

Additional readings:

González, C. (2018). Revealing a Social Dimension of Internationalization: Transnational Board Interlocks as a Social-Based Proxy for the Degree of Internationalization of the Firm. *Management International Review*, 1-24.

Kozlenkova, I. V., Samaha, S. A., & Palmatier, R. W. (2014). Resource-based theory in marketing. *Journal of the Academy of Marketing Science*, 42(1), 1-21.

Porter, M. E. (2008). The five competitive forces that shape strategy. *Harvard Business Review*, 86(1), 25-40.

Block 6: International business functions: Value chain, marketing, human resources and finance

Building up on the last block, in this part of the course we study the specific challenges that the most important functional areas of the firm face when operating across borders. We explain why production and logistics decisions are of central importance to many MNCs, describe how core marketing functions are affected by internationalization, explain the strategic role of human resource management in the international business and discuss the how operating in different nations impacts finance decisions.

Date	Session	Book Chapters	Theme
Apr-20	22	17	Global production, outsourcing and logistics
Apr-27	23	18	Global marketing and R&D
Apr-27	24	19	Global human resource management
May-04	25	20	Accounting and Finance in the International Business

Additional readings:

Aaker, D. A., & Joachimsthaler, E. (1999). The lure of global branding. *Harvard Business Review*, 77, 137-146.

Desai, M. A. (2008). The finance function in a global corporation. *Harvard Business Review*.

Block 7: Advanced session: Business in Emerging Markets

In this block we study the opportunities and challenges of operating in emerging markets. These markets are characterized by “institutional voids” that make business more difficult, but also more profitable for firms that know how to navigate in these countries.

Date	Session	Book Chapters	Theme
May-04	26	Other	Business in emerging markets

Additional readings:

Khanna T, Palepu K, & Sinha J. (2005). Strategies that fit in emerging markets. *Harvard Business Review*, 83: 6-15

Khanna, T., & Palepu, K. (2006). Emerging giants: Building world-class companies in developing countries. *Harvard Business Review*, 84(10), 60-69.

Prahalad, C. K., & Lieberthal, K. (1998). The end of corporate imperialism. *Harvard Business Review*, 76, 68-79.

Block 7: Group presentations and optional Course wrap-up / Q&A session

In this block all the groups will present their final projects. In an additional, optional session, I will answer all remaining questions that you might still have before the final exam.

Date	Session	Book Chapters	Theme
May-11	27*	Other	Group presentations (selected at random)
May-11	28*	Other	Group presentations (selected at random)
May-18	29*	Other	Group presentations (selected at random)
May-18	30	Other	Course wrap-up and Q&A session

***Formal group examination: Mandatory attendance to ALL three sessions**